

INDUSTRIAL WAREHOUSE LEASE AGREEMENT

Commercial Industrial Premises — IFRS 16

- LANDLORD:** Lone Star Industrial Properties LP, a Texas limited partnership with offices at 1601 Elm Street, Suite 4000, Dallas, TX 75201
- TENANT:** Southwest Distribution Co. Inc., a Texas corporation with its principal place of business at 4500 Stemmons Freeway, Dallas, TX 75207
- PREMISES:** 4500 Stemmons Freeway, Dallas, TX 75207 — comprising approximately 85,000 square feet of industrial warehouse space
- STANDARD:** This Lease is governed and reported under **IFRS 16 Leases** as adopted by the Tenant for financial reporting purposes.

RECITALS

WHEREAS, Landlord owns and operates industrial real property at 4500 Stemmons Freeway, Dallas, TX 75207; and

WHEREAS, Tenant requires industrial warehouse and distribution facilities to conduct its business operations; and

WHEREAS, Landlord is willing to lease the Premises to Tenant on the terms and conditions set forth herein;

NOW, THEREFORE, in consideration of the mutual covenants herein, the parties agree as follows:

§1 — Definitions

"Commencement Date" — means January 1, 2021.

"Expiry Date" — means December 31, 2035.

"Initial Term" — means the period of fifteen (15) years commencing on the Commencement Date and expiring on the Expiry Date.

"Premises" — means the industrial warehouse facility comprising approximately 85,000 square feet located at 4500 Stemmons Freeway, Dallas, TX 75207.

"Base Rent" — means USD \$1,200,000 per annum, payable in equal monthly instalments of USD \$100,000.

"CPI Index" — means the Consumer Price Index for All Urban Consumers (CPI-U) for the Dallas-Fort Worth metropolitan area as published by the U.S. Bureau of Labor Statistics.

"Parent Guarantee" — means the guarantee provided by the Tenant's parent company in lieu of a security deposit, as described in §6.1.

§2 — Premises and Lease Term

§2.1 Lease Term

The Landlord hereby leases to the Tenant the Premises for an Initial Term of **fifteen (15) years**, commencing on **January 1, 2021** (the "Commencement Date") and expiring on **December 31, 2035** (the "Expiry Date"), subject to the renewal options set forth in §3 hereof.

§2.2 Description of Premises

The Premises consist of an industrial warehouse facility of approximately **85,000 square feet** at **4500 Stemmons Freeway, Dallas, TX 75207**, including loading docks, truck access areas, office space of approximately 2,500 square feet, and all ancillary improvements. The Premises are suitable for distribution, warehousing, and light industrial use.

§3 — Renewal Options

§3.1 Options to Renew

Provided the Tenant is not in default under this Lease, the Tenant shall have **three (3) consecutive options to renew** this Lease, each for a further period of **five (5) years** (each a "Renewal Term"), on the same terms and conditions as this Lease save as to Base Rent (which shall be at market rent as agreed or determined). The three Renewal Terms, if all exercised, would extend the total potential lease period to **thirty (30) additional years** beyond the Initial Term. Each option shall be exercisable by written notice to the Landlord not less than **eighteen (18) months** prior to the expiry of the then-current term. Options must be exercised consecutively and no option may be exercised if a preceding option has not been exercised.

§4 — Use of Premises

The Tenant shall use the Premises solely for the purposes of warehousing, storage, distribution, and ancillary light industrial activities in connection with the Tenant's business operations. The Tenant shall comply with all applicable zoning regulations, environmental laws, and industrial safety standards governing the use of the Premises.

§5 — Rent

§5.1 Base Rent

The Tenant shall pay to the Landlord as Base Rent the annual sum of **USD \$1,200,000**, payable in equal monthly instalments of **USD \$100,000** each, due and payable in advance on the first day of each calendar month. All payments shall be made by wire transfer to the Landlord's designated account.

§5.2 Payment Schedule

Rent payments are due on the first (1st) day of each calendar month. A grace period of five (5) business days applies before late charges are assessed. Late payments shall bear interest at the lesser of 1.5% per month or the maximum rate permitted by applicable law.

§5.3 Rent Escalation — CPI Adjustment

Rent shall be adjusted annually in accordance with changes in the Consumer Price Index (CPI-U) for the Dallas-Fort Worth metropolitan area. On each anniversary of the Commencement Date, the Base Rent shall be adjusted to reflect the percentage change in the CPI Index for the twelve (12) month period ending on the date that is sixty (60) days prior to such anniversary. **Such**

adjustments shall reflect actual CPI movements and are not subject to a fixed cap. The Landlord shall provide written notice of the adjusted rent amount within thirty (30) days of the relevant CPI data becoming available. The CPI adjustment shall apply from the relevant anniversary date regardless of when notice is given.

§6 — Security Deposit

§6.1 No Security Deposit — Parent Guarantee

No security deposit is required under this Lease. The Tenant has provided a parent company guarantee in lieu thereof. In lieu of a cash security deposit, the Tenant shall provide, concurrently with the execution of this Lease, a guarantee executed by the Tenant's parent company guaranteeing the Tenant's performance of all monetary and non-monetary obligations under this Lease. The guarantee shall remain in full force and effect throughout the Initial Term and any Renewal Term. The Landlord acknowledges receipt of the parent company guarantee and agrees that no cash security deposit shall be required so long as such guarantee remains in force.

§7 — Operating Costs and IFRS 16 Accounting Provisions

§7.1 Right-of-Use Asset and Discount Rate

The parties acknowledge that this Lease constitutes a lease within the scope of IFRS 16 Leases. For the purposes of IFRS 16 measurement, the **discount rate applicable to this Lease is 5.2% per annum**, representing the Tenant's incremental borrowing rate at the Lease Commencement Date of January 1, 2021. This rate has been applied by the Tenant to determine the initial measurement of the lease liability and the corresponding right-of-use asset in accordance with IFRS 16 paragraphs 22 and 26.

§7.2 IBR Reference

The discount rate applicable to this Lease is **5.2% per annum**, representing the Tenant's incremental borrowing rate at the Lease Commencement Date. This rate reflects the rate at which the Tenant could borrow funds to obtain an asset of a similar value in a similar economic environment over a similar term as at January 1, 2021.

§7.3 Premises Detail for IFRS 16

For the purposes of IFRS 16 right-of-use asset recognition: the leased asset comprises industrial warehouse premises of **85,000 square feet at 4500 Stemmons Freeway, Dallas, TX 75207**. The Tenant's right-of-use encompasses all warehouse space, loading facilities, and ancillary office areas. Note that the CPI-linked escalation mechanism (§5.3) introduces variable lease payment components under IFRS 16 which must be assessed at each reporting date.

§8 — Insurance

The Tenant shall maintain: (a) commercial general liability insurance of not less than \$10,000,000 per occurrence; (b) property insurance for Tenant's improvements and inventory; (c) workers' compensation insurance; and (d) business interruption insurance. The Landlord shall maintain building insurance for the structure of the Premises.

§9 — Termination

§9.1 Non-Cancellable Lease

This Lease is fully non-cancellable for the Initial Term. Neither party shall have the right to terminate this Lease prior to December 31, 2035 except in the event of material breach. The parties acknowledge that this Lease represents a long-term commitment and that the non-cancellable nature of the Initial Term is a fundamental and essential term. Any purported termination or attempted surrender of the Premises prior to the Expiry Date shall be of no force or effect unless made in response to a material breach as provided herein.

§9.2 Termination for Material Breach

Either party may terminate this Lease upon material breach by the other party that remains uncured for sixty (60) days following written notice specifying the breach. Material breach shall include, without limitation, failure to pay rent for two (2) or more consecutive months, or destruction of the Premises.

§10 — Alterations

The Tenant may make non-structural alterations to the Premises for warehouse and distribution purposes with prior written consent of the Landlord. Structural alterations require Landlord's written consent and must be performed by licensed contractors in accordance with all applicable building codes and permits.

§11 — Assignment and Subletting

The Tenant may not assign or sublet without Landlord's prior written consent, which shall not be unreasonably withheld. Any assignment to a subsidiary or affiliate of the Tenant shall require notice but not consent, provided the guarantor obligations remain in place.

§12 — Default and Remedies

Events of default include: non-payment of rent for five (5) or more days; breach of any material obligation not cured within sixty (60) days of written notice; insolvency or appointment of a receiver. Upon default, the non-defaulting party may exercise all remedies available at law or in equity, subject to the non-cancellable provisions of §9.1.

§13 — Quiet Enjoyment

The Landlord covenants that the Tenant shall peaceably hold and enjoy the Premises throughout the Term without interference, provided the Tenant performs all of its obligations under this Lease.

§14 — General Provisions

§14.1 Governing Law

This Lease shall be governed by and construed in accordance with the laws of the **State of Texas**, without regard to its conflict of law principles. The parties submit to the exclusive jurisdiction of the

courts of Dallas County, Texas and the United States District Court for the Northern District of Texas.

This Lease constitutes the entire agreement between the parties with respect to the Premises and supersedes all prior agreements and understandings. Modifications require written agreement signed by both parties.

§SIGNATURES — Execution

IN WITNESS WHEREOF, the parties have executed this Industrial Warehouse Lease Agreement as of the Commencement Date.

LANDLORD

Lone Star Industrial Properties LP

Signature: _____

Name: Authorised Partner

Title: _____

Date: January 1, 2021

TENANT

Southwest Distribution Co. Inc.

Signature: _____

Name: Authorised Officer

Title: _____

Date: January 1, 2021